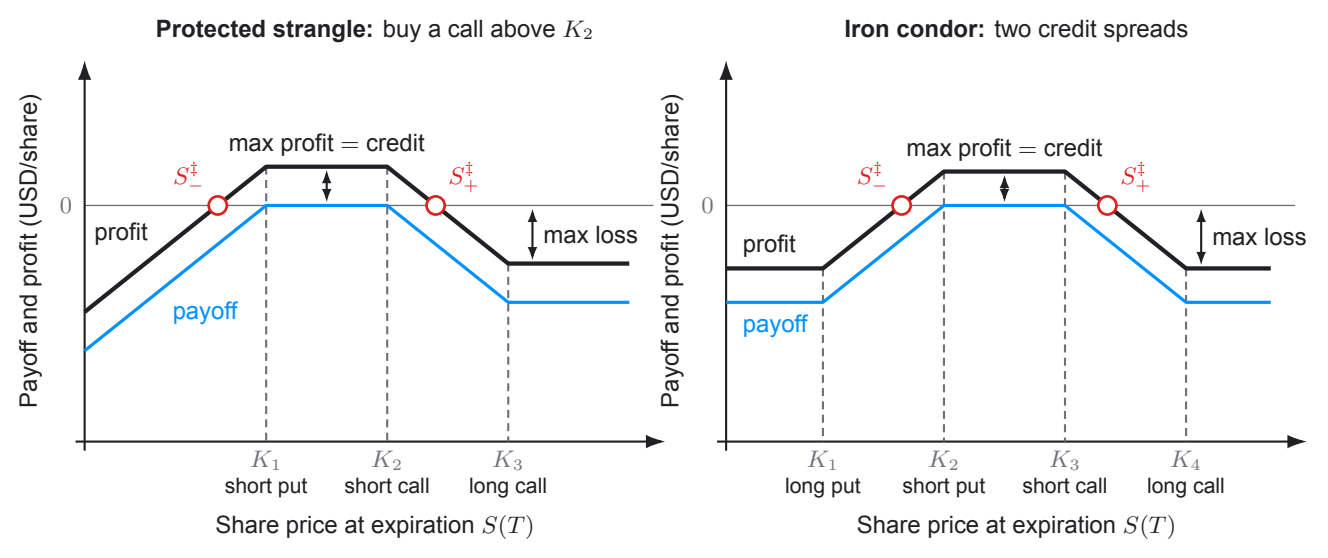
Protected strangle: buy a call above K_2
Payoff and profit (USD/share)
0
max profit = credit
$S_-^\ddagger$
$S_+^\ddagger$
profit
payoff
max loss
K_1
short put
K_2
short call
K_3
long call
Share price at expiration $S(T)$
Iron condor: two credit spreads
Payoff and profit (USD/share)
0
max profit = credit
$S_-^\ddagger$
$S_+^\ddagger$
profit
payoff
max loss
K_1
long put
K_2
short put
K_3
short call
K_4
long call
Share price at expiration $S(T)$